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Project 1 Edition A - Oracle Corporation (ORCL)

1. Current primary filing

- **Entity:** Oracle Corporation (NYSE: ORCL; CIK 0001341439)
- **Primary filing:** Form 10-K
- **SEC accession number:** 0001193125-26-277521
- **Reporting period:** Fiscal year ended May 31, 2026
- **Filing date:** June 22, 2026
- **Currency and units:** U.S. dollars; financial statements are in millions except per-share data
- **SEC filing index:** EDGAR filing detail
- **Primary filing:** Oracle FY2026 Form 10-K

2. Filing evidence for the valuation setup

- **Diluted-share evidence:** Fiscal 2026 weighted-average common shares were 2,860 million. Employee stock plans added a 54 million dilutive effect, producing **2,914 million diluted weighted-average common shares**. Diluted EPS attributable to common shareholders was **$5.83**. The filing also reports **2,880,471,000 common shares outstanding as of June 12, 2026**. For a point-in-time equity valuation, I would begin with the June 12 share count and then separately model dilutive securities; I would not substitute the weighted-average EPS denominator without explanation. SEC EPS table
- **Cash: $31,289 million** of cash and cash equivalents at May 31, 2026. Marketable securities were another **$605 million**. I keep marketable securities separate unless the valuation convention explicitly treats them as excess cash.
- **Debt:** The filing reports **$130,105 million** of future principal payments for all borrowings at May 31, 2026. This is the cleanest disclosed gross-principal debt input for an initial enterprise-to-equity bridge. A later valuation should reconcile principal to balance-sheet carrying value and decide whether lease liabilities or other debt-like claims belong in adjusted debt.
- **Operating-value driver:** Fiscal 2026 **cloud infrastructure revenue was $18,101 million**, up from $10,234 million in fiscal 2025 (approximately **76.9% growth**). Total cloud revenue was $33,989 million and total company revenue was $67,357 million. Cloud-infrastructure growth is a central value driver because it can expand recurring revenue, but it must earn adequate returns on the data-center investment required to produce it.

- **Capital-intensity counterevidence:** Fiscal 2026 capital expenditures were **$55,663 million**, up from $21,215 million, while operating cash flow was $31,977 million and reported free cash flow was **negative $23,686 million**. This is consequential to the thesis because rapid cloud growth does not automatically create equity value when reinvestment needs are exceptionally high.

Unless linked to a more specific SEC table above, the figures in this section come from the Oracle FY2026 Form 10-K.

3. Enterprise-to-equity bridge check

The bridge identity is:

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Equity value = Enterprise value - debt - other debt-like claims + cash + non-operating investments
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Using only Oracle's disclosed cash and gross principal debt, the preliminary adjustment is:

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Equity value = Enterprise value - $130,105m + $31,289m = Enterprise value - $98,816m
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If the $605 million of marketable securities is confirmed to be non-operating and included as cash-like, the adjustment becomes:

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Equity value = Enterprise value - $130,105m + $31,289m + $605m = Enterprise value - $98,211m
```

This arithmetic verifies the direction of the bridge: debt lowers equity value and cash/non-operating investments raise it. The separate synthetic example used in class cannot be reproduced from the materials in this folder because its enterprise value, cash, debt, and other-claim inputs were not provided; no class answer is invented here.

4. Decision, user, company, valuation date, and initial thesis

- **Decision:** Whether to initiate a position in Oracle common stock now, continue researching it, or decline it.
- **Decision user:** A long-term public-equity investor who cares about per-share intrinsic value and downside risk, not merely revenue growth.
- **Company:** Oracle Corporation (ORCL).
- **Valuation date:** September 1, 2026. The financial-statement evidence date is May 31, 2026, and the latest disclosed common-share count date is June 12, 2026. Market price and intervening developments must be refreshed before any final recommendation.
- **Initial thesis: Watch/defer.** Oracle's cloud-infrastructure growth is strong enough to justify continued work, but the current evidence is insufficient to initiate. The decisive tension is between rapid cloud growth and the large capital expenditures and additional borrowings needed to support it. I would initiate only if a valuation using current market data shows an adequate margin of safety under conservative utilization, margin, and reinvestment assumptions.

5. Known evidence, consequential assumptions, and unknowns

Known evidence

- Oracle generated $67,357 million of fiscal 2026 revenue, including $18,101 million of cloud-infrastructure revenue.
- Operating cash flow was $31,977 million, capital expenditures were $55,663 million, and free cash flow was negative $23,686 million.
- Cash and cash equivalents were $31,289 million; gross principal payments for all borrowings totaled $130,105 million.
- Fiscal 2026 diluted weighted-average shares were 2,914 million, and diluted EPS attributable to common shareholders was $5.83.
- The 10-K states that Oracle expects the upward capital-expenditure trend to continue in fiscal 2027 and following years as it expands data-center capacity.

Consequential assumptions

- Cloud-infrastructure demand remains durable rather than reflecting a temporary AI-capacity shortage.
- New data centers achieve sufficient utilization and pricing to earn returns above Oracle's cost of capital.
- Cloud margins improve enough to offset depreciation, power, financing, and operating costs associated with the infrastructure buildout.
- Oracle can refinance or repay debt without materially impairing common-equity value.
- Stock-based compensation and other dilution remain manageable on a per-share basis.

Unknowns

- ORCL's current share price, market capitalization, and enterprise value on the valuation date.
- The amount and timing of contracted cloud backlog converting to recognized revenue and cash flow.
- Normalized maintenance capital expenditure versus growth capital expenditure.
- Incremental returns on the fiscal 2026-2027 data-center investment cycle.
- Customer concentration, contract cancellation protections, power availability, and data-center utilization.
- A fully adjusted net-debt figure that reconciles carrying values, principal, leases, preferred stock, and other debt-like or non-operating items.
- The normalized diluted share count after considering unvested awards, options, performance awards, and mandatory convertible preferred stock.

6. Research plan

1. Refresh ORCL's share price and calculate market capitalization and enterprise value as of the valuation date.

2. Reconcile every enterprise-to-equity bridge item from the debt, leases, investments, preferred-stock, and stock-compensation notes.
3. Review the newest earnings release, earnings call, and any post-10-K 8-K filings for guidance, contracted backlog, capital spending, and financing changes.
4. Build base, bull, and bear forecasts for cloud-infrastructure revenue, utilization, operating margin, depreciation, capital expenditures, and free cash flow.
5. Estimate return on incremental invested capital from the data-center buildout and compare it with Oracle's weighted-average cost of capital.
6. Value Oracle with a discounted-cash-flow model and cross-check it against peer multiples on revenue, EBIT, and free cash flow.
7. Stress-test slower AI demand, price competition, project delays, higher power costs, higher interest expense, and additional dilution.
8. Initiate only if the conservative per-share value offers an adequate margin of safety; otherwise retain the company on the watch list.

7. Partner-generated falsification question

What observable evidence would show that Oracle's accelerating cloud-infrastructure revenue is failing to earn an adequate return on the debt-funded data-center capital required to produce it?

This question is intentionally left unanswered for the author to investigate.